

NVIDIA Corporation

NVDA NASDAQ

Buy	\$207.85 ▼ 0.44%	12M Price Target \$245.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.04T
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NVDA: Consolidating Near Highs as China Chip Deal Looms

WHAT HAPPENED

- NVDA drifting slightly lower (-0.44%) on very light volume (16M vs the usual 100M+) — that's not selling pressure, that's just a quiet summer Friday with nobody around. The stock is digesting the big move from Wednesday (\$212 intraday high) rather than breaking down.
- Intel posted "blowout" Q2 earnings and the market is asking if the comeback is real — this matters for NVDA because Intel's Gaudi accelerators are the closest thing to a domestic competitor. If Intel gains traction, it's a slow-drip headwind, but nothing changes NVDA's dominance in the next 12 months.

WHY IT MATTERS

Here's what I think is actually going on: NVDA sits at 60% of its 52-week range and a \$5 trillion market cap with options flow screaming bullish (put/call of 0.56 means traders are buying nearly 2x as many bullish bets as bearish ones). The quiet consolidation between \$203-\$212 tells me big money is accumulating ahead of the August earnings print — nobody wants to be short into a company that just got the green light to resume H2O chip sales to China (that's billions in revenue they'd written off). The bigger picture: with the Trump administration explicitly pushing an "American AI Stack" export strategy, NVDA is essentially a policy beneficiary — the government WANTS them selling chips globally to lock in the US tech standard, which is the opposite of the 2023-2024 export control regime.

POLICY & POLITICAL WATCH

The critical near-term catalyst is the July commerce department framework allowing H2O chip sales back into China — this was blocked earlier in the year and its reversal adds an estimated \$15-20B in annualized revenue back to the model. Watch the CHIPS Act 2.0 discussions in Congress and the AI Action Plan executive orders — the administration has framed AI leadership as a national security priority, meaning NVDA gets treated like a strategic asset (helpful) rather than a monopoly to be broken up (which was the Biden-era FTC vibe). Wild card: if Beijing retaliates on rare earths or restricts NVDA specifically in response to broader trade friction, that changes the calc quickly.

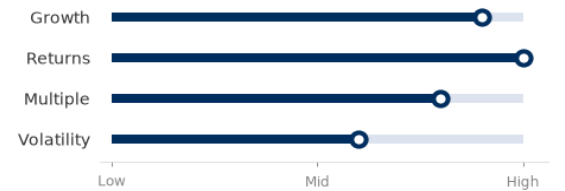
IS IT EXPENSIVE?

At ~35x forward earnings (you're paying \$35 for every \$1 of profit NVDA will make next year), the stock looks expensive vs the S&P at ~22x — but cheap vs its own growth rate of ~50%+ revenue growth. The rule of thumb: when a company's growth rate exceeds its P/E multiple, you're usually not overpaying. The \$5T market cap sounds insane until you realize hyperscaler capex (Microsoft, Google, Meta, Amazon combined AI spending) is projected north of \$400B next year and NVDA captures the majority of that spend.

Key Data

Price (USD)	\$207.85
12M Price Target	\$245.00
Upside / (Downside)	+17.9%
Market Cap	\$5.04T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	35.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$220.00	\$210.00	\$195.00
6 Months	\$245.00	\$225.00	\$180.00
1 Year	\$275.00	\$245.00	\$170.00
2 Years	\$340.00	\$280.00	\$160.00
5 Years	\$500.00	\$380.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+2.2%) is popping on rate-cut hopes, and data center REITs specifically benefit from the same AI buildout NVDA does. Energy (+0.96%, +3.94% 5D) is running because AI data centers consume massive power — this is the "picks and shovels for the picks and shovels" trade.

COOLING OFF: Communication Services (-3.80% 5D) — the mega-cap ad names (Google, Meta) are getting sold on concerns their AI capex isn't producing returns fast enough. Ironically that's a mild negative for NVDA if it means those customers throttle spending.

ROTATION WATCH: Money is rotating into rate-sensitive and energy names on the assumption the Fed cuts in September — that's a broadly bullish backdrop for high-multiple growth like NVDA, because lower rates make future earnings worth more today.

RELATED PLAY: If you want NVDA-adjacent exposure without the single-stock risk, look at the power/utility names selling electricity to hyperscalers (VST, CEG) or the data center REITs (EQIX, DLR) — they capture the AI buildout without the semiconductor volatility.

WHO'S WINNING IN THIS SPACE?

- INTC (Intel): Blowout Q2 earnings — the "American semiconductor renaissance" narrative is real, but Intel winning at CPUs doesn't touch NVDA's GPU dominance yet
- AVGO (Broadcom): Custom AI chip designer — riding the same wave as NVDA but with a different customer mix (Google TPU manufacturer)

NVDA CONTEXT: NVDA is consolidating while lower-quality semi names are ripping — that's actually healthy. When the mega-cap leader takes a breather and the beta names catch up, it's a sign of a healthy bull market rotation, not a top. NVDA typically leads out of these consolidation periods.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$200-205 on pullbacks, add aggressively sub-\$190

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex guidance cut >15%, or full China export ban reinstated

Hedging: Small put spread into August earnings, or pair with short position in a stretched AI software name